

THE REST OF STUDY UNIT 14 IS BASED ON THE ASSUMPTION THAT YOU HAVE ALREADY STUDIED THE RELEVANT CHAPTERS IN THE PRESCRIBED TEXTBOOK.

SECTION A - ADDITIONAL INFORMATION

1. Overview of the five-step revenue model

Five-step revenue model

	IFRS
Step 1 – Identify the contract A **contract** with a customer must meet all five criteria for recognition as revenue.	15.9
Combination contracts Two or more contracts with the same customer are treated as a single contract if one of three criteria is met.	15.17
Contract modifications A contract modification is accounted for as an additional contract if two conditions are met.	15.18-21
Step 2 – Identify the performance obligations • Determine if the contract contains more than one peformance obligation. • A performance obligation is a good or service that is distinct (two criteria have to be met). • Determining if a good or service is distinct is therefore critical to identify separate performance obligations in a contract.	15.22-.30 15.22 15.27 15.22
Step 3 – Determine the transaction price The effects of the following on the transaction price should be considered • Variable consideration • A significant financing component • Non-cash consideration • Consideration payable to a customer	15.47-.72 15.50-.59 15.60-.65 15.66-.69 15.70-.72
Step 4 – Allocate the transaction price to separate performance obligations (this step only applies to a contract with more than one performance obligation)	15.73-.86
Step 5 - Recognise revenue Recognise revenue when performance obligations are satisfied: • A good or service is transferred to a customer; and • The customer obtains control of that good or service. Performance obligations may be satisfied over time (measure of progress) or at a point in time.	15.31-.45 15.32-.34 15.35-.45